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BUSINESS • EARNINGS

Home Depot Reports Growth as Home Builder Sentiment Rises

Sales rise at the housing market grows amid low mortgage rates

By Austen Hufford

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A Home Depot employee is seen outside a store in Los Angeles in 2015. The company said Tuesday sales and profit growth in its first quarter as the housing market continues to grow. © LUCY NICHOLSON / REUTERS/REUTERS

Home Depot Inc. HD **0.48%** ▲ Tuesday posted sales and profit growth in its first quarter, as the housing market continues to grow.

Shares rose 1.22% to \$159.25 in premarket trading.

For the year, the company now projects earnings per share of \$7.15, up from \$7.13 previously and reaffirmed its sales and comparable-store sales growth estimates of 4.6%. Analysts polled by Thomson Reuters expect \$7.20 in earnings per share.

The company said results in the quarter came from broad-based growth across its geographies.

The Atlanta-based company has reported rising sales as the housing market grows and Americans become increasingly willing to spend on home-improvement projects. Low mortgage rates have kept higher prices within reach of many borrowers and prices have increased in many U.S. housing markets over the past couple of years.

The National Association of Home Builders released its monthly gauge of builder sentiment Monday, saying its overall index of housing market sentiment is at levels last seen in 2005, with builders reporting that sales and interest among potential buyers are strong.

During the most recent quarter, sales at Home Depot stores open at least a year grew 5.5%. Analysts polled by Consensus Metrix were expecting 3.9% growth.

In all, Home Depot reported a profit of \$2.01 billion, or \$1.67 a share, up from \$1.8 billion, or \$1.44, a year prior. Revenue climbed 4.9% to \$23.89 billion.

Analysts polled by Thomson Reuters had projected earnings of \$1.62 a share on \$23.76 billion in sales.

At the quarter's end, Home Depot operated 2,281 retail stores in the U.S., Canada and Mexico. The company's sales per square foot rose 4.6% as the amount the average customer spent per transaction rose 3.9%.

Write to Austen Hufford at austen.hufford@wsj.com

